EXECUTIVE SUMMARY

A. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2014 and 2013:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2014	2013	Increase (Decrease)
Assets	134,527,584.97	125,152,605.59	9,374,979.38
Liabilities	92,442,933.55	88,222,638.43	4,220,295.12
Government Equity	42,084,651.42	36,929,967.16	5,154,684.26

b. Income and Expenses

	2014	2013	Increase (Decrease)
Income	78,845,862.81	69,535,637.51	9,310,225.30
Expenses	60,660,603.56	62,422,449.58	(1,761,846.02)

c. Appropriations/Obligation

	2014	2013	Increase (Decrease)
Appropriations	81,867,191.28	63,622,869.76	(18,244,321.52)
Obligations	76,574,757.21	60,065,160.27	16,509,596.94

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2014	2013	Increase (Decrease)
Suspensions	-	-	-
Disallowances	551,853.60	634,433.58	82,579.98
Charges	-	-	-
Total	**551,853.60**	**634,433.58**	**82,579.98**

The municipality's assets, liabilities and equity increased by P9,374,979.38, P4,220,295.12 and P5,154,684.26 respectively. The increased in the liabilities was due to the increased in the account Due to NGAs that was not yet implemented in CY 2014.

Total income amounted to P78,845,862.81 which is P9,310,225.30 higher than last year's collection amounting to P69,535,637.51. A total amount of P81,867,191.28 was appropriated during the year of which P76,574,757.21 was obligated.

B. Operational Highlights

The major accomplishments of the Municipality in CY 2014 are the following:

20% Development Fund	Targets	Accomplishments	% of Completion
• Concreting of Centro FMR (Equity) 100%	5,200,000.00	5,164,352.79	
• Small Water Impounding Project (Equity) 100%	2,100,000.00	2,100,000.00	
• Road Opening FMR Sto.Tomas 100%	600,000.00	553,227.93	
• Road Opening FMR San Agustin 100%	600,000.00	588,571.30	
• DAR-ADB LGU Maintenance (Equity) 100%	479,000.00	479,000.00	
Funded from Financial Assistance			
• DA-RO2 Concreting of Road-Brgy. San Agustin 100%	4,532,868.00	4,532,868.00	
• DA-RO2 Road Opening-Brgy.Sto. Tomas 100%	4,491,180.00	4,491,180.00	
• Provincial Government-Concreting Public Martket 100%	996,978.84	996,978.84	
• DILG- Concreting of Public Market 100%	996,780.01	996,780.01	
• Provincial Government-FMR SitioNamayugan 100%	298,950.00	298,950.00	

As of CY 2014, the summary of loans and repayments are as follows:

Year Acquired	Lending Agency	Amount	Amortization	Balance
2003	DA RFU No. 2, Tug. City	₱800,000.00	₱800,000.00	-
2010	LBP, Sanchez Mira Branch	₱15,000,000.00	₱1,666,666.68	₱8,333,333.28

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Abulug, Cagayan for the year ended December 31, 2014. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the Financial Statements of the Municipality of Abulug, Cagayan, as of December 31, 2014.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. **Collections totaling P192,252.88 were not deposited intact and regularly with the authorized depository bank contrary to Section 28 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.**

   We recommended that the Municipal Treasurer deposit intact all her collections with authorized depository bank daily or not later than the next banking day pursuant Section 28 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

2. **Cash Advances granted for travels and other specific purpose amounting to P148,069.00 had remained unliquidated as of December 31, 2014 contrary to Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997.**

   We recommended that the Accounting Department follow strictly the provisions of Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997. Require the Accountable Officers to settle immediately their cash advances to avoid withholding of salaries.

   We recommended the Local Chief Executive and concerned key officials to strictly observe Section 4 (6) of Presidential Decree (P.D) No. 1445.

3. **Job Order personnel hired do not perform piece of work or intermittent job of short duration and services rendered exceeded six months, contrary to the provisions of the Revised Omnibus Rules on appointments and Other Personnel Actions and CSC Memorandum Circular No. 17, s. 2002.**

We recommended that management:

1. Instruct all Department Heads and concerned officials that hiring of Job Order personnel should be attributed to specific projects for a period of not exceeding six months.
2. Maximize personnel holding permanent positions to do regular, administrative and clerical functions.
3. Evaluate the necessity of hiring and the reasonable number of job order employees to be assigned in different offices to avoid excessive manpower and work duplication.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the two (2) audit recommendations contained in the Annual Audit Report for Calendar Year 2013, all were implemented.